Supplier and Procurement Policy

Parts Unlimited East Africa Procurement Department | Effective January 1, 2026 | Version 2.4

Fictional document created for a RAG portfolio project. All requirements, limits and amounts are invented for this demonstration.

1. Supplier Onboarding

A supplier must be on the Approved Supplier List before Parts Unlimited issues a purchase order. Onboarding normally takes 6 to 8 weeks and has the following requirements:

- **Application:** the supplier completes the Supplier Application and signs the Supplier Code of Conduct.
- **Business documents:** business registration, bank details and, for suppliers based in East Africa, a current tax clearance certificate from the national revenue authority (URA in Uganda, KRA in Kenya, TRA in Tanzania or RRA in Rwanda).
- **Insurance:** a certificate showing general liability insurance of at least 2 million US dollars and product liability insurance.
- **Quality certification:** manufacturing suppliers must hold IATF 16949 certification. Other suppliers must hold ISO 9001 certification.
- **Financial review:** the Finance department reviews the supplier's financial stability.
- **Audit:** Quality Assurance performs an on-site or virtual audit of the facility.
- **Sample approval:** three production samples per SKU must pass Quality Assurance testing.
- **Conformity certificates:** where the destination country requires one, the supplier provides an import certificate of conformity (for example under the UNBS scheme for Uganda, KEBS for Kenya, TBS for Tanzania or RSB for Rwanda).
- **System set-up:** approved suppliers are added to the procurement system and the Approved Supplier List.

During the first 6 months, the first order from a newly onboarded supplier is limited to UGX 90,000,000 unless the Director of Procurement approves a higher amount.

2. Supplier Evaluation

Suppliers are evaluated on a weighted scorecard:

Criterion	Weight	What is measured
Quality	35%	Defect rate against the acceptable quality level, SCAR count
Delivery	25%	On-time delivery to the confirmed date
Cost	20%	Price competitiveness and price stability
Responsiveness	10%	Speed and quality of replies to Procurement and Quality Assurance
Compliance	10%	Documents, audits and code of conduct adherence

Scores map to ratings: A (90 or above), B (80 to 89), C (70 to 79) and D (below 70). Where quality, price and delivery are equal, Parts Unlimited prefers qualified suppliers based in East Africa.

3. Purchase Orders

- All purchases are made through a purchase order (PO) issued in the procurement system. A PO states the SKU, quantity, unit price, delivery date and delivery location.
- The supplier must acknowledge the PO within 2 business days. A PO that is not acknowledged in 2 business days may be cancelled.
- Changes to quantity, price or delivery date require a written PO amendment agreed by both parties.
- Overseas suppliers ship on CIF terms to the port of Mombasa or Dar es Salaam named in the PO. Parts Unlimited arranges customs clearing and inland transport to the distribution centre.
- Payment terms are net 60 days from the invoice date, after a three-way match of the PO, the goods receipt and the supplier invoice. Overseas suppliers are paid in US dollars; suppliers based in East Africa are paid in UGX, KES, TZS or RWF as agreed in the PO. Withholding tax is deducted where the law requires it.

4. Minimum Order Quantities and Lead Times

Minimum order quantities (MOQ) are per SKU. Lead time is counted from PO acknowledgement to delivery at the port or distribution centre named in the PO, and includes sea freight for overseas suppliers.

Category	Minimum order quantity (per SKU)	Standard supplier lead time
Brake Systems	300 units	60 days
Engine Components	150 units	75 days
Filters	1,500 units	45 days
Electrical Components	120 units	65 days
Suspension Components	200 units	70 days

An order below the MOQ needs written approval from the Category Manager and may carry an 8 percent small-order surcharge.

5. Quality Requirements

- Brake Systems and Suspension Components are safety-critical. They must meet an acceptable quality level (AQL) of 0.65 with zero tolerance for critical defects.
- All other categories must meet an AQL of 1.5.
- Every shipment must include a Certificate of Conformance and carry a traceable lot code.
- Every carton must carry a scannable SKU barcode, and packaging must pass a 1-metre drop test and be suitable for sea freight and humid conditions.

- Incoming goods are inspected by Quality Assurance within 5 business days of receipt at the distribution centre.

6. Late Deliveries

- A grace period of 2 business days applies after the confirmed delivery date.
- After the grace period, a late-delivery penalty of 0.5 percent of the PO value applies for each calendar day of delay, up to a maximum of 10 percent of the PO value.
- Delays caused by a documented port closure or strike outside the supplier's control are excluded from the penalty when the supplier notifies Procurement within 2 business days.
- If delivery is more than 21 days late, Parts Unlimited may cancel the remaining PO and buy the goods from another supplier at the original supplier's cost.
- Three late deliveries within a rolling 6 months trigger a performance review.

7. Damaged and Non-Conforming Goods

- Parts Unlimited notifies the supplier within 10 business days of receipt and issues a Supplier Corrective Action Request (SCAR).
- The supplier must respond to a SCAR with a root cause and corrective action within 10 business days.
- At Parts Unlimited's choice, the supplier replaces the goods within 20 business days, issues a credit, or collects the goods at its own cost.
- A lot is rejected if the defect rate exceeds the AQL. Sorting and re-inspection costs are charged to the supplier.

8. Supplier Performance Reviews

- Scorecards are issued quarterly to every active supplier.
- The top 15 suppliers by annual spend receive an annual business review with Procurement and Quality Assurance.
- A supplier rated D must submit a corrective action plan within 10 business days and enters a 90-day probation. Failure to improve to at least a C rating may lead to removal from the Approved Supplier List.

9. Compliance Requirements

- Compliance with the Parts Unlimited Supplier Code of Conduct, including anti-bribery, anti-corruption and a ban on forced or child labour.
- Compliance with applicable laws in the countries where Parts Unlimited operates, including tax, customs, motor vehicle safety and environmental regulations.
- Conflict-minerals and restricted-substances declarations for all electrical components.

- An annual compliance attestation signed by an officer of the supplier.
- Parts Unlimited may audit supplier facilities and records with 10 business days' notice.

10. Procurement Approval

Purchase order value (UGX)	Approver
Up to 40,000,000	Category Buyer
40,000,001 to 200,000,000	Category Manager
200,000,001 to 1,000,000,000	Director of Procurement
Over 1,000,000,000	Chief Operating Officer and the Chief Financial Officer

A purchase order may not be split to avoid an approval limit. The requester and the approver of a purchase order must be different people.